

60/40 portfolio. We assume that if we move into cash, we receive the risk-free rate of return (90-day T-bills). Results are shown gross of any transaction or management fees and include the reinvestment of dividends. All the strategies are annually rebalanced to their target weights and risk-management rules are applied on a monthly basis.

Table 9.7 Strategy Summary Statistics (1/1992–12/2014)

	DIY BAL_RM	DIY MOD_RM	DIY AGG_RM	IVY5 MA	60/40
CAGR	11.09%	12.02%	13.10%	9.29%	9.23%
Standard Deviation	7.87%	8.86%	10.84%	6.68%	8.47%
Downside Deviation (MAR = 5%)	5.77%	6.44%	8.04%	4.92%	6.09%
Sharpe Ratio	1.03	1.02	0.94	0.96	0.77
Sortino Ratio (MAR = 5%)	1.02	1.06	0.99	0.84	0.69
Worst Drawdown	–13.93%	–13.81%	–16.39%	– 12.65%	– 25.29%
Worst Month Return	–7.96%	–9.89%	–13.35%	–7.08%	–9.50%
Best Month Return	6.63%	8.53%	10.57%	5.48%	7.12%
Profitable Months	71.01%	69.93%	69.20%	69.93%	67.03%

On a risk-adjusted basis, the three DIY strategies are roughly equivalent. They each generate a Sharpe ratio around one and a Sortino ratio comfortably above one. The metrics for the DIY systems are all favorable relative to the Ivy 5 and the 60/40 systems. A quick look at the worst drawdown statistic suggests that all of the strategies are favorable to a buy-and-hold strategy fully invested in equity: diversification clearly matters. We also notice that the trend following overlays on both the Ivy 5 (MA)